

its noninterest income (investment fees, trust income, deposit charges) had grown at a 15.3 percent rate. If you exclude the unusual loan loss provisions in 1991 and 1992, the bank would have had approximately \$1 billion in earnings power.

The value of a bank is the function of its net worth plus its projected earnings as a going concern. When Berkshire Hathaway began purchasing Wells Fargo in 1990, the company, in the previous year, had earned \$600 million. The average yield on the 30-year U.S. government bond in 1990 was approximately 8.5 percent. To remain conservative, we can discount Wells Fargo's 1989 earnings of \$600 million by 9 percent and value the bank at \$6.6 billion. If the bank never earned another dime over \$600 million in annual earnings during the next 30 years, it was worth at least \$6.6 billion. When Buffett purchased Wells Fargo in 1990, he paid \$58 per share for its stock. With 52 million shares outstanding, this was equivalent to buying the company for \$3 billion, a 55 percent discount to its value.

Of course, the debate over Wells Fargo centered on whether the company, after taking into consideration all of its loan problems, even had earnings power. The short sellers said it did not; Buffett said it did. He knew that ownership of Wells Fargo was not riskless. This is how he rationalized his purchase: "California banks face the specific risk of a major earthquake, which might wreak enough havoc on borrowers to in turn destroy the banks lending to them," Buffett said. "A second risk is systemic—the possibility of a business contraction or financial panic so severe that it would endanger almost every highly-leveraged institution, no matter how intelligently run."⁴⁰ Now, the possibility of these two events occurring, in Buffett's judgment, was low. But there still remained one viable risk, he said. "The market's major fear of the moment is that West Coast real estate values will tumble because of overbuilding and deliver huge losses to banks that financed the expansion. Because it is a leading real estate lender, Wells Fargo is thought to be particularly vulnerable."⁴¹

Buffett knew that Wells Fargo earned \$1 billion pretax annually after expensing an average \$300 million for loan losses. He figured if 10 percent of the bank's \$48 billion in loans (not just commercial loans, but all of the bank's loans) were problem loans in 1991 and produced losses, including interest, averaging 30 percent of the principal, Wells Fargo would break